



Hospital Retail Clinics

Hospitals are now finding ways to reach more patients and expand their business. Retail clinics like Manipal Cure and Care (mcc) in Bangalore are unique in that they complement the hospital business by providing feel-good, look-good care. These clinics, a mix of world-class products and services in preventive, wellness and beauty, will offer everything—from health packages to skin care products, premium exercise machines to cosmeceuticals.

Presidential Suites

What's common between Fortis, Vasant Kunj, in Delhi, Kokila Dhirubhai Hospital in Mumbai, Artemis in Gurgaon, Sagar Apollo in Bangalore or Ruby Hall Clinic in Pune? Well, they all have something that was so long associated with business travellers and five-star hotels: Presidential suites. Complete with patient and family rooms, separate bathrooms, microwave and refrigerator (sometimes a kitchen), computer stations, WiFi—there's enough room to accommodate personal staff as well. All clinical appendages are neatly tucked behind sliding artwork to complete the illusion. At Rs 25,000-30,000 a day, it might just be possible to forget the reason for getting admitted to a hospital.



with money and expertise. Vaatsalya runs in eight locations in the state, focusing on the mother and child, offers about 520 beds and sees 20,000 patients a month. Apart from full-time doctors, Vaatsalya also gets consultants from metros who want to go back to their roots or from local partners. What next? "Building up the chain in Maharashtra and Andhra Pradesh," they say.

Alternative is the new normal now. Take Rajiv Vasudevan, founder and CEO of the new-generation AyurVAID Hospitals. That's because, he is applying contemporary business models to the ancient science of healing—ayurveda. AyurVAID operates exactly like a modern hospital—from a hub-and-spoke approach to insurance coverage, focus on chronic conditions, end-to-end medical management protocol. "We integrate ayurveda with modern medicine," says Vasudevan, who is hopeful that the business model will attract many more credible players to the industry. The 150-bed hospitals grew from three to seven centres across south and west India last year.

New Money, New People

Time was when health insurance was not considered a safety net. The only insurance everyone knew and opted for was life insurance. That is increasingly a thing of the past. The health insurance business is growing at 50 per cent and is projected to

grow to Rs 25,875 crore by 2010, according to a study by the PHD Chamber of Commerce and Industry. Health insurance premium is also increasing by over 20 per cent every year and many stand-alone health insurance companies are coming into the field, apart from the general insurance companies focusing on health insurance. "This shows the important role played by insurance companies which has driven home the point that health insurance is becoming a very essential part in anybody's life," says V. Jagannathan, chairman and MD of Star Health Insurance, health insurance specialist.

Emerging trends show that today every middle income family feels that health insurance is a must for them, especially upper middle income groups. "Perhaps not to the extent of understanding every nitty-gritty of a policy, but they definitely insist on adequacy of the cover in most cases," he adds.

"In the top 20 urban cities, the penetration of health insurance is 12 per cent," says Antony Jacob, CEO, Apollo Munich Health Insurance. Yet another trend is that executive health check-ups have become more common, especially among people above age 40, he explains. Health insurance is also being driven by group insurance covers, as most medium to large companies have group health insurance schemes.

Not just insurance, private equity (PE) funds are upbeat on healthcare and have invested in several